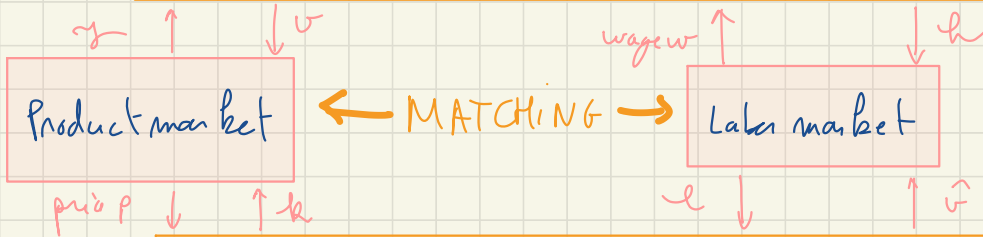


Structure of the Two-Market Model

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<https://pascalmichailat.org/w/>

Households:

- Consume services c
- Hold, value real wealth m/p
- Labor force participants h
- Utility function.

$$u(c, m/p) = \frac{x}{1+x} c^{\frac{1-x}{x}} + \frac{1}{1+x} (m/p)^{\frac{1-x}{x}}$$


Firms:

- Hire workers l by posting vacancies $\hat{v}$
- Workers are paid nominal wage w
- n workers are used for production k
 - Products (services) are sold at price p
- Some of the firm's employees are used for recruiting instead of production (Hk) $\rightarrow l-n$ recruits